in recent months). An investor, bank, or corporation can use the IRF market to gain or shed interest exposures as they desire. The key to the success of this market has been to allow the design of the relevant instrument to be governed by market participants, while ensuring regulatory concerns are satisfied. We are proceeding in a similar way with money market futures contracts.

Not all innovative instruments have been successful. Inflation Indexed Bonds (IIBs) tied to the Wholesale Price Index (WPI) have not been very popular because the RBI has moved away from a focus on the WPI to a focus on CPI. Even the market for CPI indexed IIBs has been lukewarm. The moderate investor interest perhaps reflects the disinflationary environment, where inflation protection is less sought after. Also, unlike the more tax-protected Gold Monetization Bonds, the CPI indexed IIBs are not fully tax protected against inflation. Going forward, a level playing field on taxes is warranted for all instruments, so that instruments do not gain favour simply because they get better tax treatment.

The lesson from these examples is that financial innovation needs support, not to create tax or regulatory arbitrage, but so that appealing features are encouraged. Innovation also requires tinkering, to modify what does not work until something more appealing can be found – the first versions of Interest Rate Futures were not attractive, but later versions have succeeded. This is why the RBI has moved to a sandbox approach, where we are liberal towards early product innovations so long as they are not clearly problematic, regulating more carefully only when interest picks up and the product looks like it might become of systemic importance.

Finally, an important function for the regulator in encouraging financial innovation is to create the necessary infrastructure. For instance, a number of financial contracts are structured off